

Research Statement

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Let's be short. I'm still a young scholar. I believe that smart speculators do not know fundamental value. Dynamically, they cannot distinguish noise from information, and noise can accumulate in prices without necessarily leading to predictable returns. Easy to say, hard to study. My idea is to focus on partial-replication settings, where it is impossible to know in real time whether mispricing is present unless one has a valuation model. Ex-post, however, I can measure whether the replicated component moved in tandem. I find large underreaction. The greater the uncertainty about the value of the non-replicated section, the stronger the underreaction. When assets are perfectly replicated, mispricing tends to be small.

My main inspirations are: Grossman [1976], Diamond and Verrecchia [1981], Shiller et al. [1984], Brav and Heaton [2002, 2003], Brav et al. [2004], Dávila and Parlato [2023, 2025].

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